Sudden Stop with Local Currency Debt

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Summary

- Financial fragility in EMEs: related to countries' liability structure and foreign currency exposure
- Dollar-denominated debt amplifies the adverse effect of shocks $\rightarrow$ Fisher's debt-deflation mechanism
- Composition of credit flows in emerging countries has evolved drastically over the past two decades
- Rising local currency debt (LCD) affects economic resilience during a financial crisis
- **This paper:** embeds the issuance of LCD into a sudden stop model with a flow collateral constraint
- LCD provides a buffer against large adverse shocks and mitigates the severity of sudden stop crises
- Trade-offs:
  - **Cost of Debt:** Investors perceive cyclical movements in RER and charge a risk premium for LCD
  - **Debt deflation incentives** (and new: monetary policy credibility and fiscal discipline)
- To deal with this: commitment to financial policies.
- Approach of the paper: optimal capital control policies; discretion vs. commitment.

Overview

Result:

- Only by allowing LCD: welfare boosts as with macroprudential policies (on FCD world)
- If in addition, there is policy with commitment gains are boosted by a third
- Trade-off: probability of crisis is higher than under discretion (but lower than competitive equilibrium)

Implications and policy recommendations of the paper:

- Imposing too strong CFM measures can be detrimental and lower LCD
- Better alternative: Apply CFMs that target only the riskier flows in the external balance

Salient Facts of This Topic

- EMEs can now access local currency debt: the extent of original sin is lower in recent times
- Governments have incentives to increase LCD share to limit exposure to credit risk
- Still governments don't opt for LCD only
  - This can be rationalized by a trade-off: higher LCD may increase Debt Risk Premium as ER is countercyclical (depreciates in recessions)
  - In addition issues of fiscal discipline and central banks credibility arise
- A debt portfolio with both LCD and FCD has better insurance properties to external shocks
- All of this can explain why there is a mixture of LCD and FCD;

Importantly, policy can mitigate trade-offs of increasing LCD shares, e.g., with FX interventions and capital control measures the risk premium increase from higher LCD can be mitigated

Relevant Contrast

- LCD improves resilience, but increases the cost of debt and hinders fiscal and monetary discipline

  This paper verifies this and explains that with discipline the gains are substantial

  Discipline = Commitment

- CFMs, on the other hand, can improve resilience for EMEs but are a hard sell, as they can be recessionary at times (one of the mechanisms works by limiting the LCD share of debt)
- Good middle point: use LCD + CFMs insulation properties $\rightarrow$ apply CFMs to risky assets

General impression: Great paper on a timely topic!

A lot of results to unpack $\rightarrow$ My comments will partly talk on this

But also on extensions and implications regarding other types of policies

Comments

For extensions of current approach:

- A key policy insight: "it would be good to use LCD + CFMs on risky assets" is not explored in the model but only suggested

  An example: Production economy and equity stock on physical capital (FDI), with risky bond portfolio.

  With this, statements on benefits of targeting volatile flows with CFMs or Macroprudential tools can be verified (e.g., Ghironi and Ozhan, 2020, wp; Davis and Van Wincoop, 2023)

- Can investigate further what are the mechanisms generating more counter cyclicality under commitment (Uribe and S-G, 2017; Fernandez, Rebucci, Uribe, 2015, JME)

- Explanation behind optimal level of LCD:

  trade-off of LCD choice is clearly explained.

  However, it's not as clear, in terms of the model, whether or by how much this is generated by the particular choice adjustments costs or if there are other ways to capture the Original Sin (normally these are just a stationarity inducing device, Schmitt-Grohé and Uribe, 2003, 2017)

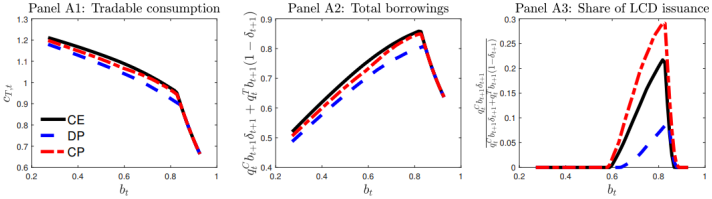
Comments (cont.)

Related to reported results:

- On figure 4 top panel: Non linearity of policy function is reported and partly depends on binding colateral constraint.

  Interesting that LCD increases high debt levels only; could be relevant to explain further why

  It may be relevant to notice whether and which other variables are different across equilibria for low levels of debt

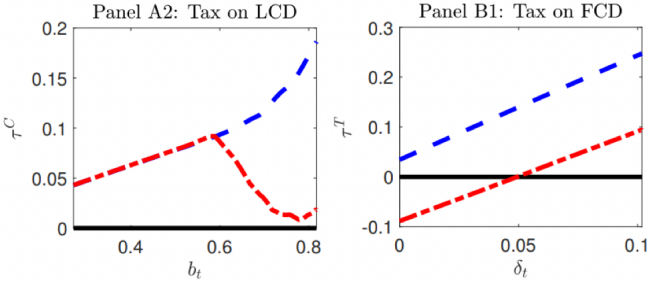


Comments (cont.)

Related to tax rates to enforce DP, CP equilibria:

- One would expect subsidies in CP for some level of debt. But it's not the case. It could be interesting to explain further why we don't see that.

  Similarly, why for some levels of LCD, DP is taxing more the FCD share and CP is even subsidizing it?



Note: Red: CP; Blue: DP

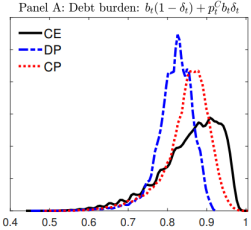
Again, it's probably very consistent but there are many moving parts to unpack that may difficult grasping the big picture

Comments (cont.)

Emphasize that still both policy setups cool down the financial activity (relative to CE):

Authors mention these are two very different strategies to enforce financial stability,

- DP: lowers borrowing and consumption to lower probability of crisis (welfare decreasing)
- CP: increases borrowing and consumption to get better bond cost and make use of hedging



Interesting as MaP type policies usually are associated to inmiserizing growth effects that seem more consistent how DP is described.

However, not sure I agree fully with statement as in reality both CP and DP contract borrowing

The main difference seems to still be the higher LCD share (or better fine tuning of a "still reduced" debt burden)

Final thoughts

General message:

LCD is welfare improving but also brings new externalities, then treat and regulate with caution.

Other possible extensions:

- how would LCD compare if CFM can target separately different types of capital flows? (inflows, outflows, risky, safe assets)

- What are some possible issues related to other policymakers that can difficult setting a higher LCD share? (monetary policy credibility, fiscal discipline)

Final thoughts

Great paper, I learned a lot from reading it

The paper has as many results as possible without dealing with other types of policy problems

This provides a great benchmark, particularly for venturing into learning about other policymakers implications which I think is where the authors can move towards (e.g., as Ottonello and Perez, 2019; Engel and Park, 2022)